

Multiple Choice

1. **Answer:** C

Options: A) falls below minimum average total cost.; B) is greater than minimum average variable cost, but lower than minimum average total cost.; C) falls below minimum average variable cost.; D) is equal to minimum average total cost.

Note: Correct option: C - falls below minimum average variable cost.

2. **Answer:** A

Options: A) a prolonged period of very bad weather.; B) a decrease in the money supply.; C) a decrease in consumer confidence.; D) an increase in consumer confidence.

Note: Correct option: A - a prolonged period of very bad weather.

3. **Answer:** A

Options: A) A cement mixer; B) A barrel of crude oil; C) A registered nurse; D) A share of corporate stock

Note: Correct option: A - A cement mixer

4. **Answer:** D

Options: A) a loose monetary policy.; B) foreigners having no taste for this country's products.; C) an appreciation of the country's currency.; D) low levels of income relative to other nations.

Note: Correct option: D - low levels of income relative to other nations.

5. **Answer:** C

Options: A) increase imports; B) increase travel abroad; C) increase exports; D) decrease a trade surplus

Note: Correct option: C - increase exports

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'complements'.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The equilibrium price will rise and the equilibrium quantity will fall.'

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'contractionary monetary policy.'

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'the value of the dollar will tend to appreciate.'

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Demand for the good produced by this labor is stronger.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** A cashier at a restaurant receiving the same \$8 an hour that other cashiers receive.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key